BELPOINTE
OZ

WHITE PAPER

Opportunity Zones in 2026 and beyond: the program, the January 2027 reset, and the case for a listed fund

How Qualified Opportunity Funds defer, reduce and eliminate capital gains tax, what changes when OZ 2.0 begins on January 1, 2027, and why Belpointe PREP, LLC ("Belpointe OZ"), the only Qualified Opportunity Fund listed on a national securities exchange, offers a different way in.[1]

NYSE American: OZ · November 2026

180 days
to reinvest an eligible gain in a Qualified Opportunity Fund

Dec. 31, 2026
OZ 1.0 recognition date for deferred gains

Jan. 1, 2027
OZ 2.0 investments begin, with a rolling five-year deferral

10 years
hold for the elimination benefit

Numbered notes and important information appear on the last page.

Executive summary

The Opportunity Zone program is the most generous capital gains incentive in the federal tax code: an investor who sells an appreciated asset and reinvests the gain in a Qualified Opportunity Fund within 180 days can defer that gain, reduce it through a basis step-up, and, after a ten-year hold, pay no federal capital gains tax on the appreciation of the fund investment itself.

Two dates now shape every Opportunity Zone decision. On December 31, 2026, gains deferred under the original program ("OZ 1.0") are recognized. On January 1, 2027, the permanent program enacted in 2025 ("OZ 2.0") opens with a rolling five-year deferral, a 30% step-up for rural funds and a new map of zones that is redrawn every ten years. From 2027 the program is no longer a closing window but a standing feature of the tax code, and the question for investors shifts from beating a deadline to choosing the fund.

Almost every Qualified Opportunity Fund is private: investors subscribe at net asset value, commit capital to properties that often do not exist yet, and have no market for their interests. Belpointe OZ is the exception. Its Class A units have traded on the NYSE American since October 2021, its two principal properties are built and leasing, and the units have recently traded at a material discount to the Company's announced net asset value. This paper explains the program first, then the case for the listed fund.

1. How the Opportunity Zone program works

Congress created Opportunity Zones in the Tax Cuts and Jobs Act of 2017 to draw private capital into roughly 8,700 low-income census tracts nominated by governors and certified by the Treasury Department. The incentive runs through a Qualified Opportunity Fund ("QOF"): a corporation or partnership that elects QOF status and holds at least 90% of its assets in qualified opportunity zone property, tested twice a year.

Who can use it

Any taxpayer with an eligible capital gain: individuals, partnerships, corporations, trusts and estates. The gain can come from stock, a business, real estate, cryptocurrency, collectibles or any other capital asset sold to an unrelated party. Only the gain needs to be reinvested, not the full proceeds, and the investor keeps the rest.

The 180-day window

The investment must be made within 180 days of the sale. For gains allocated from a partnership, the window can begin at the partnership's year end or the due date of its return, which for calendar-year partnerships pushes the deadline for 2026 gains well into 2027. Installment sales, Section 1231 gains and certain other situations have their own start dates, so the date should be confirmed with a tax adviser.

What the fund must own

Qualified opportunity zone property is stock or a partnership interest in a qualified opportunity zone business, or tangible property used in a trade or business inside a zone.

The property must be acquired after 2017 from an unrelated party and either be put to its original use in the zone or be substantially improved, meaning the fund invests at least as much as it paid for the building within 30 months. In practice, that requirement pushes most funds toward ground-up development.

The elections

The investor makes the deferral election on IRS Form 8949 with the return for the year of the sale and reports the QOF investment each year on Form 8997. A fund that is a partnership, like Belpointe OZ, issues a Schedule K-1 to its investors.

2. Defer, reduce, eliminate

Defer

The reinvested capital gain is deferred, not recognized in the year of sale.

Under OZ 1.0 (investments through December 31, 2026): investors who hold through the December 31, 2026 recognition date, or who trigger an inclusion event before it such as a sale of the investment, recognize gain under Treasury Regulation § 1.1400Z2(b)-1(e)(4). Because Belpointe OZ is taxed as a partnership, the amount of gain included in gross income is equal to the lesser of (i) the product of (A) the percentage of the qualifying investment that gave rise to the inclusion event and (B) the remaining deferred gain, less any basis adjustments pursuant to section 1400Z-2(b)(2)(B)(iii) and (iv); or (ii) the gain that would be recognized on a fully taxable disposition at fair market value of the qualifying investment that gave rise to the inclusion event. The basis adjustments in (i)(B) include the 10% basis step-up for investments that reached their five-year anniversary on or before December 31, 2026.

Under OZ 2.0 (investments from January 1, 2027): the deferral runs five years from the date of each investment, on a rolling basis, or until an earlier inclusion event. There is no single recognition date for all investors.

Reduce

The amount of deferred gain that is ultimately recognized is reduced by a step-up in basis.

Under OZ 1.0: a 10% step-up applied only to investments that reached their five-year anniversary on or before December 31, 2026. Investments made after 2021 receive no step-up under OZ 1.0.

Under OZ 2.0: a 10% step-up after five years for any Qualified Opportunity Fund investment, and a 30% step-up after five years for investments in a qualified rural opportunity fund.

Eliminate

An investor who holds the Qualified Opportunity Fund investment for at least ten years may elect to step its basis up to fair market value on sale, eliminating federal capital gains tax on the appreciation of the fund investment itself.

Under OZ 1.0: the election remains available for sales through December 31, 2047.

Under OZ 2.0: the election is available for up to 30 years after the investment; at 30 years the basis steps up to fair market value automatically.[2]

3. OZ 1.0 vs. OZ 2.0: what changes on January 1, 2027

The One Big Beautiful Bill Act, signed July 4, 2025, made the Opportunity Zone program permanent and rewrote several of its rules. The original program ("OZ 1.0") governs investments made through December 31, 2026. The new program ("OZ 2.0") governs investments made on or after January 1, 2027. The two overlap for existing investors, and the differences decide how much of the benefit an investor keeps.

	OZ 1.0 (investments through December 31, 2026)	OZ 2.0 (investments from January 1, 2027)
Program status	Temporary; deferral ends December 31, 2026	Permanent, with zones redesignated every ten years
Deferral of the reinvested gain	Until December 31, 2026, or an earlier inclusion event	Five years from the date of each investment, on a rolling basis
Basis step-up (reduction)	10% at five years, only if the fifth anniversary fell on or before December 31, 2026	10% at five years; 30% for investments in a qualified rural opportunity fund
Ten-year exclusion (elimination)	Election available for sales through December 31, 2047	Election available for up to 30 years after the investment; basis steps up to fair market value automatically at 30 years
Zone map	Roughly 8,700 tracts designated in 2018; the current map stays in force for OZ 1.0 investments	Governors nominate new tracts from July 1, 2026 with tighter income tests; the new map takes effect January 1, 2027 and is redrawn every ten years
Rural incentive	None	Qualified rural opportunity funds get the 30% step-up and a lower 50% substantial-improvement threshold
Reporting	Form 8996 for the fund; Form 8997 for the investor	Expanded fund and investor reporting, with penalties for funds that fail to report
Belpointe OZ	Aster & Links, 1700 Main Street and 1701-1710 Ringling Boulevard are grandfathered OZ 1.0 sites[3]	VIV, 901-909 Central Avenue and the Nashville assets sit in OZ 2.0 zones; the Storrs parcels sit in a qualified rural opportunity zone

What OZ 2.0 means for an investor in 2027 and after

An investor with a gain in 2027 reinvests within 180 days, defers the gain for five years, recognizes 90% of it (70% for a rural fund) in year five, and pays no federal capital gains tax on the appreciation of the fund investment itself if the investment is held at least ten years. Because the deferral is rolling, there is no longer a single cliff date for everyone; each investment runs on its own clock. Because the program is permanent, a fund that already holds property in a designated OZ 2.0 zone can accept new capital for years rather than racing a sunset.

The practical question for a 2027 investor is the same one that applied under OZ 1.0: does the fund own real property in a qualifying zone, and is that property built or still a plan? Belpointe OZ already owns operating and development property in OZ 2.0 zones, including a rural zone, and its original Sarasota sites remain qualified under OZ 1.0.

The bridge strategy

Exiting an OZ 1.0 investment any time before the December 31, 2026 recognition date triggers a new 180-day reinvestment period. Nothing in the OZ 1.0 or OZ 2.0 statutes, regulations or IRS guidance as it exists today prohibits overlapping that exit with the start of the OZ 2.0 program on or after January 1, 2027. An investor who sells before year end and reinvests in January 2027 can therefore move from a program whose deferral is about to end into one with a fresh five-year deferral, a 10% reduction and the ten-year elimination. The Company strongly encourages investors to review this with a qualified tax professional.

4. Why most Opportunity Zone funds are private, and what that costs the investor

The substantial-improvement rule and the 90% asset test push funds toward buying land and building. Sponsors raise capital through private placements under Regulation D, which limits most offerings to accredited investors, and the capital is committed for a decade with no secondary market. The investor underwrites a business plan, not a building.

Feature	Private Qualified Opportunity Fund	Belpointe OZ (NYSE American: OZ)
Entry price	Net asset value, set by the sponsor	Market price, recently at a material discount to NAV
Who can invest	Usually accredited investors only	Any investor with a brokerage account
Minimum investment	Typically $25,000 to $250,000 or more	One Class A unit
Paperwork	Subscription agreement and investor questionnaire	A brokerage order; the deferral election is made on the investor's tax return
Capital calls	Common	None
What you are buying	A development plan	Completed, leasing properties plus a pipeline
Liquidity	Generally none until the fund sells its assets	Units can be sold on the exchange at the prevailing price, subject to the holding periods needed for the tax benefits
Reporting	Sponsor reports to investors	Annual and quarterly reports, proxy statements and current reports filed with the SEC; quarterly NAV announcements
Governance	Varies	Board of directors with Audit, Compensation, Nominating and Corporate Governance, and Conflicts committees

Liquidity cuts both ways. Because Class A units trade on an exchange, the market price can sit well below or above the Company's estimate of NAV. The current discount is the result of that mechanism.

5. The case for Belpointe OZ

Belpointe PREP, LLC is a Delaware limited liability company, the successor to Belpointe REIT, Inc., which was formed in 2019. It is externally managed by Belpointe PREP Manager, LLC (the "Manager") and sponsored by Belpointe, LLC (the "Sponsor"), a Greenwich, Connecticut private investment firm whose predecessor was formed in 2001. Belpointe's affiliates oversee more than $10 billion in assets across asset management, real estate development, construction and property operations. Class A units began trading on the NYSE American on October 18, 2021 under the symbol OZ.

The contrarian entry point: a material discount to net asset value

On August 28, 2026, the Company announced that NAV as of June 30, 2026 was $116.37 per Class A unit, with total net asset value of approximately $455.0 million. On November 11, 2026, Class A units closed at $31.01.[4]

$116.37
NAV per Class A unit, June 30, 2026

$31.01
closing price, November 11, 2026

73%
discount of Nov. 11, 2026 closing price to June 30, 2026 NAV

$123M vs. $455M
market capitalization, Nov. 11, 2026, vs. net asset value, June 30, 2026

At the November 11, 2026 closing price, a buyer on the exchange is paying about 27 cents for each dollar of the Manager's estimate of net asset value. Several factors can explain a persistent discount: a small float and limited trading volume; the lag between development spending and stabilized income; and interest expense on floating-rate property debt. None of these change the underlying real estate, but each may keep the price below NAV for an extended period.

Completed, income-producing properties

Aster & Links, Sarasota, Florida. Grandfathered OZ 1.0 site.[3] Two ten-story buildings on a 5.13-acre site in downtown Sarasota with 424 residences, approximately 51,000 square feet of ground-floor retail anchored by Sprouts Farmers Market, and more than 900 parking spaces. Construction was substantially completed and leasing began in 2024. The property was greater than 92% leased as of November 1, 2026.[5]

VIV, St. Petersburg, Florida. OZ 2.0 zone. Two 11-story residential towers at 1000 1st Avenue North in the EDGE District with 269 residences and approximately 15,500 square feet of ground-floor retail. Leasing began in October 2025, and the property was greater than 86% leased as of November 1, 2026.[5]

901-909 Central Avenue North, St. Petersburg. OZ 2.0 zone. A fully leased 5,328 square foot retail and office building.

Construction complete at Aster & Links and VIV

Construction risk on the two completed properties is behind the Company. Lease-up risk at each is substantially reduced, though not eliminated, until the property is stabilized. The development pipeline in Sarasota and Storrs carries its own construction risk. A new OZ 2.0 fund must buy land and build; here the two principal properties already exist and the investor can see what they are buying.

A pipeline and land positioned for sale

- **Downtown Sarasota (grandfathered OZ 1.0 sites[3]).** 1700 Main Street, planned as an approximately 130-residence community with ground-floor retail, and 1701-1710 Ringling Boulevard, an office renovation with a 20-year lease for approximately 42,000 square feet.
- **Storrs and Mansfield, Connecticut (qualified rural opportunity zone under OZ 2.0).** 497-501 Middle Turnpike, near the University of Connecticut, planned as an approximately 261-residence community, plus Storrs Road and 1750 Storrs Road held for future multifamily development.
- **Nashville, Tennessee, held for sale (OZ 2.0 zones).** 900 8th Avenue South, under contract for $19.6 million, and the Davidson Street properties, approximately 15.6 acres on the East Bank rezoned for high-density multifamily and commercial use.

6. How to invest

1. **Realize a gain.** Sell stock, a business, real estate, cryptocurrency or another appreciated asset. Only the capital gain needs to be reinvested.
2. **Buy Class A units within 180 days.** Place an order for OZ through any brokerage account at the prevailing market price. Qualified Opportunity Fund treatment applies to units purchased on the exchange with eligible gains within the window.[6]
3. **Elect and hold.** Make the deferral election on IRS Form 8949 and report the investment on Form 8997 with your tax return. Belpointe OZ issues a Schedule K-1 to unitholders each year. Hold for at least ten years for the elimination benefit.

Direct investment by subscription agreement is available only while the Company is offering units. Investors who want to discuss the Company can call Investor Relations at 203-883-1944 or email IR@belpointeoz.com.

Important information

Notes

[1] Nothing in this paper is tax advice. Opportunity Zone benefits depend on each investor's circumstances and on current law, which may change. Consult your own tax adviser.

[2] Most states conform to the federal statute; a few do not. Confirm the treatment in your state with your own tax professional.

[3] Zone designations reflect the Company's assessment under current law and guidance and are subject to final Treasury and IRS guidance. Grandfathered OZ 1.0 sites were designated in 2018 and, based on current guidance, remain qualified opportunity zone property under the original program. This assessment is based on current guidance and subject to change.

[4] NAV per Class A unit is calculated quarterly by the Company's Manager under the valuation policy described in the Company's SEC filings. It is an estimate, not a guarantee of value, and the market price of Class A units may be above or below NAV and may never reach it.

[5] Property information is from Belpointe PREP, LLC's Form 10-Q for the quarter ended September 30, 2026. Leasing percentages are the Company's estimates as of November 1, 2026 and change over time.

[6] Based on current law, Treasury regulations and IRS guidance, and on Belpointe OZ's structure as a Qualified Opportunity Fund, Class A units acquired with eligible capital gains within the 180-day period, whether purchased on NYSE American or directly from the Company, should be a qualifying investment. Opportunity Zone tax benefits depend on each investor's circumstances. Consult your tax adviser.

Not an offer

This white paper is for informational purposes only and does not constitute an offer to sell or the solicitation of an offer to buy any securities of Belpointe PREP, LLC. Class A units trade on the NYSE American under the symbol OZ. Investing in Class A units involves a high degree of risk, including the possible loss of the entire investment. Before investing, read the Company's filings with the Securities and Exchange Commission, including the risk factors in its Annual Report on Form 10-K and Quarterly Reports on Form 10-Q, available at www.sec.gov.

Forward-looking statements

This paper contains forward-looking statements within the meaning of Section 27A of the Securities Act of 1933 and Section 21E of the Securities Exchange Act of 1934, including statements about leasing, stabilization, development plans, dispositions, net asset value and the Opportunity Zone program. Words such as "anticipate," "estimate," "expect," "project," "plan," "intend," "believe," "may" and "will" identify forward-looking statements. They reflect current expectations and are subject to the risks and uncertainties described in the Company's SEC filings, including delays in the lease-up and stabilization of its properties, fluctuations in occupancy and market rents, the availability and cost of financing, and changes in tax law. Actual results may differ materially, and the Company undertakes no obligation to update any forward-looking statement except as required by law.

Net asset value and market data

NAV per Class A unit is calculated quarterly by the Company's Manager under the valuation policy described in the Company's SEC filings. NAV is an estimate, not a guarantee of value. The market price of Class A units may be above or below NAV and may never reach it. Market price data is delayed and provided for information only. Figures in this document are updated automatically from

public sources, including the Company's filings with the SEC and third-party market data, and may contain errors, omissions or delays. They are provided for informational purposes only. The Company's filings with the SEC, available at www.sec.gov, are the official source and control if there is any difference. Market capitalization is the $31.01 closing price on November 11, 2026 multiplied by 3,961,376 Class A units outstanding at October 30, 2026, as reported in the Form 10-Q for the quarter ended September 30, 2026.

Tax matters

Nothing in this paper is tax advice. Opportunity Zone benefits depend on each investor's circumstances, holding periods and on current law and IRS guidance, which may change. Most states conform to the federal statute; a few do not. Investors should consult their own tax advisers.

Sources

Figures are from the Company's Form 10-Q for the quarter ended September 30, 2026 (accession 0001493152-26-049977) and Form 8-K dated August 28, 2026 unless otherwise stated. Leasing percentages are the Company's estimates as of November 1, 2026 and change over time. Belpointe OZ is managed by Belpointe PREP Manager, LLC and sponsored by Belpointe, LLC.